

MANAGING CHANGE 2022



ORGANIZATIONAL RESTRUCTURING



Group of Companies Formation

WHY?

Businesses today are characterized by relentless change. To stay competitive, companies must continually grow and evolve. In our line of business, everything is constantly evolving because the industry is constantly evolving. Anyone who has wanted to cling to how things were will no longer thrive in this market.

The pandemic has played a big role by shifting the original paradigm and presented us with an opportunity: for businesses and individuals to evolve into new ways of being. COVID-19 hasn't just turned the world on its head, but this event in our lifetimes have accelerated trends that were already happening, such as the shift to remote work and the collective desire for more convenience. I believe that we're reaching a critical impasse where the businesses that don't evolve may very well fade out of the picture. We can no longer survive with the current model of operation that is concentrated only towards trading.

In the early 90's we came up with the strategy to have our own manufacturing facilities in Middle East to have an edge on our competition. Evolution is a natural part of all of our lives, and our businesses are no exception.



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COMPANIES

- ENGINEERING & DESIGN
 - UNITECH GERMANY
- MANUFACTURING & FABRICATION
 - ALL SFSP (KSA, UAE, EGYPT & LEBANON)
- TRADING
 - ALL UNITECH BRANCHES (MENA REGION)
- SUPPLY & APPLY
 - ALL BETA & TECHNICAL COMPANIES
- PROCUREMENT & LOGISTICS
 - TOSL (KSA & UAE)

DEPARTMENTS

- DIRECTLY REPORTING TO MD
 - MARKETING DEPT. (INCL. MULTI-D)
 - FINANCE DEPT.
 - EXPORT DEPT.
 - PRODUCT / BUSINESS DEV. DEPT.
- IN-DIRECTLY REPORTING TO MD
 - SALES & COLLECTION DEPT.
 - ACCOUNTS DEPT.

NOTE:

We are aiming to achieve excellence in all facets of our operations. This framework for our business will ensure that we are focused on growth and execute agreed strategies better than our competitors.

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DEFINITION ?

I define growth as increase in the scope of activities and/or renewal of capabilities. The factors prompting Unitech & SFSP to evolve are as follows:

- To become More Competitive
- Reduce Expenses
- To have more concentration on solution rather than products
- Efficient use of Existing Resources / Production Facility
- Manufacture top of the line Products
- Building Brands to export or trade Internationally
- Insufficient Cash Flow from current Business Activities
- Meeting Nationalization Requirement

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HOW?

We have reached a point where we need to figure out what's next and following are the ways to do it...



Bringing in New Products



Expansion of our Production Capabilities:



Start Supply and Apply Business Activity:



Initiate an Export Department:



Reimagining Remote Work:

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Bringing in New Products:

Expand into new areas, in an emerging market with a new product, complementing the current range... Many new products have been added since the beginning of the year and these are:

- REXTON Electrical Products
 - EATON Pipe Clamps
 - Thomson Pipe Clamps & Hangers
 - Impact Protection Brand Under Development + Partnered with GRI
 - Construction Chemicals by PLEKO
 - TUNGSRAM Lighting Solution
 - Terram Geosynthetics (New Range Added)
 - STI Fire Stop (New Range Added)
 - Toilet Partition Brand Under Development
- And More...

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Expansion of our Production Capabilities:

Utilizing the current production facility to produce new innovative products that comply with international standards. Following are some of the products we have planned for production in the near future:

- Steel Drums
 - Raised Access Flooring (Pixel Flooring)
 - Phenolic Products
 - Aluminum Cable Ladder
 - Bonding Jumpers / Trefoil Clamps
 - Expansion Joints
 - Entrance Matting
 - Technical Profiles & Fire Barrier Systems
- And More...

NOTE:

The Expansion will not only take place in terms of products we produce, it will also reflect in terms of increasing our production capability by adding new machines and more space to cater the ever emerging market.

SFSP Egypt expansion is being done keeping in mind the vast market of Africa.

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Start Supply and Apply Business Activity:

Adding Supply and Apply activity along with Trading and Manufacturing. This activity will commence under Beta Contech, a company already having a contracting C.R.

This activity will be specialized and concentrate on the Supply & Apply of the products and solution manufactured in SFSP Facilities or available in Unitech Product Basket. For Example:

- Garbage Chute
- Cable Tray Management System
- Application of STI Fire Stopping Solutions
- Installing the EIFS System

And More...

For these activities, we shall be using skilled labors provided by manpower companies on a contractual basis.

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Initiate an Export Department:

International trade is an emerging industry, our production facilities are fully equipped to meet international standards and demands for many products... For Example:

- Garbage Chute (SFSP)
- Expansion Joints (NEXUS)

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Reimagining Remote Work:

It's time to reimagine where and how work will get done. Creation of the Group of Companies will enable us to centralize the support services.

With the emergence of technology and an experience gained through the urgent response to pandemic conditions, we are surprised by the success of remote work. Today in Unitech, there are many positions that can be outsourced and the productivity will only increase. With this we can decrease the no. of expatriates currently employed and meet the nationalization quota that will increase every year.

Such services are available in Unitech for many years – take for example Unitech Germany – They cater to each and every technical query, study, client drawings for all of Unitech & SFSP.

Currently there are 35 Employees in KSA operation that qualify to work remotely, These are:

- 13 Accountant
- 04 Technical Engineers
- 03 Invoicers
- 04 Sales Coordinators
- 02 Data Analyst
- 04 International Purchasers
- 02 Purchasing Coordinators
- 03 Admin Support / Assistants

Out of the 35 Employees - we will be selecting some and shifting them to another country to meet the Saudization criteria and reduce expenses.

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WHEN?

Effective Immediately, On few issues - we have started working in this direction for quite some time now.



Reimagining Remote Work:



Salary	3,095,012
Tickets	119,275
Iqama Renewal	22,100
Exit / Re-Entry	15,000
Med. Insurance	179,532
Work Permit	348,900
Indemnity	242,067
Other Expenses	58,065
Total Annual Expense	4,079,951

Salary	1,759,408
Tickets	68,375
Iqama Renewal	14,300
Exit / Re-Entry	8,200
Med. Insurance	92,391
Work Permit	213,890
Indemnity	143,567
Other Expenses	33,468
Total Annual Expense	2,333,599

** All Amount in SAR.

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Reimagining Remote Work:

	Total Emp.	Indian Emp.	Shift Emp.	
Salary	3,095,012	1,759,408	350,000	Incl. Office & Utility Exp.
Tickets	119,275	68,375	0	
Iqama Renewal	22,100	14,300	0	
Exit / Re-Entry	15,000	8,200	0	
Med. Insurance	179,532	92,391	20,000	Estimated Figure
Work Permit	348,900	213,890	0	
Indemnity	242,067	143,567	15,000	Estimated Figure
Other Expenses	58,065	33,468	0	
Total Annual Expense	4,079,951	2,333,599	395,000	

- Opening a service office in India, preferably in Kochi, Kerela
- Select the employees to be shifted based on experience and skill level
- Negotiate new salary contracts, based on local criteria
- Move the selected employees to the service office, giving them final exit from KSA

** All Amount in SAR.

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Right Sizing & Expense Management:

The Total Reduction in expenses will be around 4 Million SAR. for Unitech KSA. With this implementation the Saudiazation will improve and on the other hand we would not increase our expense by hiring more Saudi Employees to meet the Nitiqat Percentage.

We shall invest more in training our current Saudi Employees in handling/executing their Jobs & Tasks efficiently.

In addition to this there will be further right sizing that will be carried out during 2022 in Unitech KSA that will reduce further 500,000 SAR. in employee expenses.

**** All Amount in SAR.**

POINTS OF DISCUSSION WITH AMK

01. REVITALIZING UNITECH TRADING DIVISION (COMPARITIVE STUDY ATTACHED)

02. UNITECH TRADING DIVISION IN EGYPT

03. TRANSFERRING MTT TO UNITECH QATAR

04. SFSF FACTORY EXPANSION IN EGYPT

05. BMG PARTNERSHIP IN MANUFACTURING

06. SHOWROOM STRATEGY IN EGYPT